US PRE-MARKET BRIEFING

Wednesday, June 4, 2026

Prepared ~6:00 AM ET

1. EXECUTIVE SUMMARY

US stocks retreated from record highs on Wednesday as escalating hostilities in the Middle East -- including US military strikes on Iran and Iranian drone attacks on Gulf states -- sent oil prices surging past $100/bbl (Brent) and treasury yields climbing across the curve. The S&P 500 fell 0.4% to 7,580, the Dow dropped 0.8% to 50,890, and the Nasdaq slid 1.0% to 26,836. Pre-market futures are pointing to a mixed open, with S&P 500 futures at 7,563 (+0.03% implied open). Today's session is packed with labor market data: ADP private employment (8:15 AM ET), ISM Services PMI (10:00 AM ET), and JOLTS job openings (10:00 AM ET) -- all ahead of Friday's May nonfarm payrolls. The VIX sits at 16.31, up 3.4% on the day, reflecting elevated but not panicked sentiment.

2. MARKET SNAPSHOT

Asset	Level	Change	Source
S&P 500 (Jun 3 close)	7,580	-0.39%	Trading Economics
Dow Jones (Jun 3 close)	50,890	-0.81%	Yahoo Finance
Nasdaq Comp (Jun 3 close)	26,836	-0.95%	Yahoo Finance
S&P 500 Futures (implied)	7,563	+0.03%	ImpliedOpen.com
VIX	16.31	+3.42%	Yahoo Finance
10-Year Treasury Yield	4.47%	+2 bps	FRED/PrimeRates
2-Year Treasury Yield	4.05%	+7 bps	FRED/PrimeRates
30-Year Treasury Yield	4.99%	0 bps	FRED/PrimeRates
10Y-2Y Spread	+0.42 pp	-5 bps	PrimeRates
WTI Crude Oil	$96.05/bbl	+2.44%	Trading Economics
Brent Crude Oil	$101.36/bbl	+1.98%	Fortune/CNBC
Gold (spot)	$4,464/oz	-1.19%	Yahoo Finance
Copper	$5.98/lb	+7.32% (1mo)	Trading Economics
US Dollar Index (DXY)	99.49	+0.27%	Trading Economics
EUR/USD	1.165	-0.8% (1mo)	Trading Economics
USD/JPY	159.23	Flat	TradingView

Sources: Yahoo Finance, CNBC, Trading Economics, FRED, PrimeRates, TradingView

3. KEY THEMES

1. Middle East Escalation Dominates Sentiment

The US launched "self-defense" strikes on Iran overnight after Iranian drones and ballistic missiles targeted ships and Gulf state infrastructure, including Kuwait's airport. Iran has suspended indirect negotiations with the US following Israeli strikes in Lebanon. This marks a significant deterioration from last week's ceasefire optimism. Brent crude surged past $100/bbl for the first time in four years, and the Strait of Hormuz crisis continues to threaten global energy supply chains.

2. Oil Price Shock Feeds Inflation Anxiety

WTI crude at $96 and Brent above $101 represents a supply shock that directly challenges the disinflation narrative. The 5-year breakeven inflation rate has edged up to 2.54% and the 10-year breakeven to 2.40%. If oil stays above $100 for an extended period, it will feed into core inflation readings and complicate the Fed's rate path. Energy stocks may benefit, but the broader market faces margin pressure and consumer spending headwinds.

3. Treasury Yields Rise -- Front End Leads

The 2-year yield jumped 7 bps to 4.05%, outpacing the 10-year's 2 bps rise to 4.47%. The 10Y-2Y spread narrowed slightly to +0.42 pp but remains positive, indicating no recession signal. The front-end move reflects markets pricing out near-term rate cuts. The 30-year held steady at 4.99%, suggesting long-term growth expectations are not collapsing. The curve shape says: "higher for longer" is the base case.

4. Fed Rate Expectations: Cuts Priced Out

CME FedWatch shows a 98.4% probability of the Fed holding rates steady at the June 16-17 FOMC meeting. Markets have fully abandoned expectations for rate cuts in 2026, with some analysts now discussing the possibility of rate hikes if stagflation materializes. The combination of rising oil prices, firming inflation expectations, and a still-resilient labor market (JOLTS showed 7.62M job openings in April, well above the 6.89M consensus) gives the Fed no reason to ease.

5. AI Trade Remains the Structural Bull Case

Despite the geopolitical noise, the AI investment cycle continues to drive market leadership. HPE reported a record quarter driven by AI data center expansion. Alphabet's plan to raise $80 billion for AI infrastructure signals the capex supercycle is accelerating. The market's willingness to look past oil spikes and focus on AI is remarkable -- but it also creates concentration risk. Only 17% of S&P 500 members have outperformed the index over the past two years.

6. Dollar Strength and Yen Weakness

The DXY at 99.49 is up 0.27% on the day and 1.13% over the month, reflecting safe-haven flows and rate differentials. USD/JPY at 159.23 is pressing against the 160 level that could trigger intervention from the Bank of Japan. EUR/USD at 1.165 is on track for a monthly loss as ECB rate cut expectations diverge from the Fed's hold stance. Dollar strength is a headwind for emerging markets and US multinational earnings.

7. Gold Pullback After Record Run

Gold fell 1.19% to $4,464/oz after recently climbing above $4,500. The pullback appears to be profit-taking and dollar strength rather than a fundamental shift. Geopolitical risk and central bank buying remain structural supports. The $4,400-4,500 zone is now key support to watch.

4. WHAT TO WATCH TODAY (June 4, 2026)

Event	Time (ET)	Time (BKK)	Impact
ADP Employment Report	8:15 AM	7:15 PM	HIGH
Consensus: +65K			
ISM Services PMI (May)	10:00 AM	9:00 PM	HIGH
Consensus: ~53.5 | Prior: 53.6			
JOLTS Job Openings (Apr)	10:00 AM	9:00 PM	MEDIUM
Prior: 7.62M (beat 6.89M est.)			
Factory Orders (April)	10:00 AM	9:00 PM	LOW
Earnings: Macy's (M) BMO	Pre-mkt		MEDIUM
Earnings: Dollar General BMO	Pre-mkt		MEDIUM
Earnings: Ulta Beauty AMC	After bell		MEDIUM
Earnings: Palo Alto Networks	After bell		HIGH

Note: ADP consensus is +65K private jobs. The prior month (May) was revised to -33K. ISM Services PMI consensus is approximately 53.5 vs. 53.6 prior. All times Eastern. BKK = Bangkok time (ET + 11 hours in June).

5. THE HARD TRUTH -- DAMODARAN LENS

You are watching a market that is being pulled in two directions by forces it cannot reconcile. On one side: the AI capex supercycle, which is real and transformative. On the other: a geopolitical oil shock that threatens to undo the entire disinflation progress of the past 18 months.

The market is underpricing the oil risk.

Brent above $100 is not a "supply disruption" -- it is a war premium. The Strait of Hormuz handles 20% of global oil transit. If Iran follows through on threats to close it, we are looking at $120-150/bbl oil, not $100. The market is pricing this as temporary. It may not be. Every $10 increase in oil prices shaves roughly 0.2-0.3% off US GDP growth and adds a similar amount to headline CPI.

The "AI saves all" narrative is creating dangerous concentration.

The S&P 500's rally is being driven by a handful of mega-cap tech names. When only 17% of index members outperform the index, you do not have a healthy bull market -- you have a momentum trade. If the AI capex cycle disappoints on any dimension -- returns on invested capital, timeline to monetization, or competitive dynamics -- the entire market has nowhere to hide.

The Fed is boxed in, and markets haven't accepted it yet.

With oil pushing inflation higher and the labor market still showing 7.6M job openings, the Fed cannot cut. But the market is still pricing in a soft landing where inflation magically returns to 2% while growth stays strong. Pick one. You cannot have $100 oil, 4.5% yields, and rate cuts simultaneously. Something has to give.

Your opportunity cost of sitting in cash is rising, but so is the risk of being fully invested.

The 3-month T-bill at 3.78% is a genuine alternative. If you are going to take equity risk in a war environment with oil at $100, you better have a thesis that justifies it -- not just "stocks always go up."

The Damodaran test:

If you cannot explain why your portfolio allocation makes sense in a world where oil is $120, the 10-year is 5%, and the Fed is on hold indefinitely, you do not have a strategy. You have a hope.

6. WEEKLY ECONOMIC CALENDAR

Day	Release	Time (ET)	Impact
Wed Jun 4	ADP Employment Report	8:15 AM	HIGH
	ISM Services PMI	10:00 AM	HIGH
	JOLTS Job Openings	10:00 AM	MED
	Factory Orders	10:00 AM	LOW
Thu Jun 5	Initial Jobless Claims	8:30 AM	MED
	Trade Balance (April)	8:30 AM	MED
	Productivity (Q1 rev)	8:30 AM	LOW
Fri Jun 6	Nonfarm Payrolls (May)	8:30 AM	V.HIGH
	Unemployment Rate (May)	8:30 AM	V.HIGH
	Avg Hourly Earnings	8:30 AM	HIGH
	Consumer Credit (April)	3:00 PM	LOW
Mon Jun 9	No major releases		
Tue Jun 10	NFIB Small Biz Optimism	6:00 AM	LOW
	CPI (May)	8:30 AM	V.HIGH
Wed Jun 11	PPI (May)	8:30 AM	HIGH
	Initial Jobless Claims	8:30 AM	MED
Thu Jun 12	No major releases		
Fri Jun 13	Consumer Sentiment (prelim)	10:00 AM	MED

Next FOMC Meeting: June 16-17, 2026

Data compiled: June 4, 2026 ~6:00 AM ET
Sources: Yahoo Finance, CNBC, Trading Economics, FRED, PrimeRates, CME FedWatch, Fortune, TradingView, ImpliedOpen.com